LIMITED COMPANY · DIVIDENDS

The basic rate on dividends is 10.75% now, not 8.75%.

The first two rates went up on 6 April 2026, on any dividend, not just your own company's. And 10.75% is only your tax: the company is taxed on the profit first, and pays a dividend only out of what is distributable.

WHAT YOU PAY, BAND BY BAND

£500

Your first **£500** of dividends in a tax year is untaxed. Above that: **10.75%** at the basic rate, **35.75%** at the higher rate, **39.35%** at the additional rate.

> Your band is set by your total income, not by the dividend alone. Example, with the Personal Allowance already used by other income: £2,000 of dividends at the basic rate — the first £500 free, the remaining £1,500 × 10.75% = £161.25.

WHAT IS NOT TAXED

£12,570

Dividends that fit inside the unused part of your **£12,570** Personal Allowance are not taxed. Anything above it is. That is on top of the first £500.

> £12,570 is the usual allowance: it goes down by £1 for every £2 of income over £100,000. Dividends from shares held in an ISA are not taxed either — but your own company's shares cannot go in an ISA.

OLA ACCOUNTANCY
LUTON · BIRMINGHAM

LIMITED COMPANY · DIVIDENDS

Not sure what you keep from a dividend?

Send us the company's figures and we will set them out before you take the money. No obligation.

0330 133 1886

General information. For your own situation, speak to an accountant.